



Life Assurance Sector Report

for the Quarter Ended 31 March 2025



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- ii. The Commission is not liable for any use of this report beyond the purposes stated above.
- iii. This report covers the life assurance and reinsurance business for the quarter ended 31 March 2025, with figures drawn from unaudited accounts provided by regulated life assurers and reinsurers.
- iv. The data in this report is based on the International Financial Reporting Standard (IFRS) 17 – Insurance Contracts, which the industry has been adhering to since September 2023.
- v. Kindly note that all financial figures are in ZWG unless otherwise indicated.
- vi. The ZWG amounts are presented in nominal terms unless specified as real terms. There are no March 2024 ZWG comparatives due to the change in currency from ZWL to ZWG currency on 5 April 2024.
- vii. The Statement of Profit and Loss figures are compared to the same period in the previous year, as the transactions are cumulative and not directly comparable quarterly. In contrast, the Statement of Financial Position is compared to the previous quarter, as this provides a clearer indication of the industry's performance over the two quarters.
- viii. For March 2024 comparatives, the Commission converted the ZWL amounts to United States dollars (US\$) using the official average exchange rate and the closing rate for that period. As

a result, these figures may show distortions caused by exchange rate fluctuations.

- ix. The conversion of ZWG revenue and assets to US dollars was done using the average exchange rate of ZWG 26.4226 for the review period and the closing interbank rate of ZWG 26.7654, respectively. The exchange rate in the quarter under review was stable but the same cannot be said for the same period last year wherein the closing rate was significantly higher than the average rate, thus causing difference between the Statement of Profit and Loss and the Statement of Financial Position as income and expenses were converted at the lower rate (average rate), while assets and liabilities were converted at the higher rate (closing rate).
- x. The data in this report is based on 12 direct life assurers and four (4) reassurers.
- xi. Except for the foreign currency business section, the amounts in this report are presented as US\$ equivalents, meaning they are not strictly in US\$.

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Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
ZICARP	Zimbabwe Integrated Capital and Risk Programme
GMM	General Measurement Model
VFA	Variable Fee Approach
CSM	Contractual Service Margin



Section A

Executive Summary

1. Executive Summary

- 1.1 As at 31 March 2025, the life assurance sector was composed of 12 direct life assurance companies, four (4) reinsurers, and 1,838 life assurance agents. Agents increased by 22% from 1,506 reported in the last quarter.
- 1.2 Direct life insurers generated total insurance revenue of ZWG1.70 billion, equivalent to approximately US\$64.48 million, compared to US\$37.78 million during the same period last year. This quarter, the life assurance sector experienced strong revenue growth, particularly from General Measurement Model (GMM) and Variable Fee Approach (VFA) contracts, as well as a significant improvement in recovering acquisition costs. However, this was offset by higher expected claims, increased risk adjustments, and a drop in the Contractual Service Margin (CSM) recognition under GMM. Still, the overall insurance service result improved significantly on account of a stable exchange rate during the period under review compared to the same period last year. Of the total revenue, US\$32.69 million (51%) was from absolute foreign currency-denominated business.
- 1.3 Recurring business accounted for 98% of the total insurance revenue, with new business contributing only 2%.
- 1.4 Funeral assurance and group life assurance were the primary drivers of business in the life assurance sector, generating a combined 87% of the total revenue compared to 84.48% in Q1, 2024.
- 1.5 Three reinsurers and one direct life insurer did not meet the US\$-indexed Minimum Capital Requirements (MCR) of US\$2 million. Non-compliant entities have been engaged to develop compliance roadmaps.
- 1.6 Direct life insurers' total assets increased by 12% from the US\$ equivalent of US\$521.24 million as at 31 December 2024 to US\$ equivalent of US\$584.95 million (ZWG15.66 billion) reported as at 31 March 2025. This

growth was primarily attributed to revaluation gains and fair value adjustments.

- 1.7 The total assets reported by life reassurers amounted to US\$ equivalent of US\$10.27 million (ZWG274.76 million), reflecting an increase of 18% from US\$ equivalent of US\$8.71 million reported as at 31 December 2024. Similarly, the growth was primarily attributed to revaluation gains and fair value adjustments.
- 1.8 The average compliance ratio for prescribed asset requirements stood at 8.83% for life assurers and 24.23% for reassurers, compared to the statutory minimum of 15%. Four direct life assurers and two reassurers met the minimum statutory requirement. In the prior quarter, life assurers had a compliance rate of 14.17% and reassurers 29.55%.
- 1.9 The nominal profit before tax (PBT) for the life assurance sector was ZWG670.71 million, equivalent to US\$25.38 million. The PBT at the same time last year was US\$203.51 million. A more stable exchange rate led to this decrease, as the interbank rate adjusted to align with current economic conditions. As a result, fair value adjustments significantly reduced in nominal terms during the period under review.
- 1.10 Notably, PBT includes fair value adjustments of ZWG272.79 million (US\$10.32 million) from quoted and unquoted equity investments, translating to an unrealised profit of 41%.
- 1.11 Life reinsurers reported a nominal PBT of ZWG9.43 million for the review period, equivalent to US\$0.36 million. This profit reflects negative fair value adjustments from equities amounting to ZWG4.14 million (negative US\$0.16 million). At the same time last year, the PBT was US\$5.25 million.
- 1.12 Shown below are Tables 1 and 2, which present the key financial indicators for life assurance and reinsurance companies.

Table 1: Summary of Key Financial Indicators for Life Assurers

KPI	Mar-25	Mar-25	Mar-24	Percentage change
	ZWG million	US\$ million (equivalent)	US\$ million (equivalent)	
Insurance Revenue	1,703.83	64.48	37.78	71%
Insurance service expenses from contracts issued	784.55	29.69	26.77	11%
Insurance service result	896.27	33.92	9.71	249%
Net investment result	423.32	16.02	207.13	-92%
Profit (Loss) before tax	670.71	25.38	203.51	-88%
	Ratio Analysis			
	Mar-25		Mar-24	
Insurance Expense Ratio	15%		26%	-42%
Claims Ratio	31%		44%	-30%
Combined Ratio	46%		70%	-34%
Reassurance Ratio	1%		4%	-75%
Lapse Ratio	11%		3%	275%
	Mar-25	Mar-25	Dec-24	Percentage change
	ZWG million	US\$ million (equivalent)	US\$ million (equivalent)	
Total Assets	15,656.32	584.95	521.24	12%
Total Liabilities	7,493.94	280.24	256.47	9%
Shareholders' Equity	8,155.50	304.70	264.72	15.5%
Capital to Liability Ratio	108.73%		103.22%	5%
Prescribed Asset Ratio	8.83%		14.17%	-38%

Table 2: Summary of Key Financial Indicators for Life Reassurers

KPI	Mar-25	Mar-25	Mar-24	Percentage change
	ZWG million	US\$ million (equivalent)	US\$ million (equivalent)	
Insurance Revenue	44.67	1.69	2.41	-30%
Insurance service expenses	30.3	1.15	0.93	23%
Insurance service result	15.25	0.58	1.17	-51%
Net investment result	0.9	0.03	4.43	-99%
Profit (Loss) before tax	9.43	0.36	5.25	-93%
Ratio Analysis				
Expense Ratio	30%		29%	3%
Claims Ratio	38%		9%	322%
Combined Ratio	68%		38%	79%
	Mar-25	Mar-25	Mar-24	Percentage change
	ZWG million	US\$ million (equivalent)	US\$ million (equivalent)	
Total Assets	274.76	10.27	8.71	18%
Total Liabilities	88.62	3.31	3.58	-8%
Shareholders' Equity	186.14	6.95	5.12	36%
Capital to Liability Ratio	210%		143.09%	47%
Prescribed Asset Ratio	24%		29.55%	-18%



Section B

About the Commision

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission Overview

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise, and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

Terms of Reference

2.2 The activities of the Commission are guided by the following Acts and their respective regulations:

- Insurance and Pensions Commission Act [*Chapter 24:21*]
- Pensions and Provident Funds Act [*Chapter 24:32*]
- Insurance Act [*Chapter 24:07*]
- Money Laundering and Proceeds of Crime Act [*Chapter 09:24*]
- Finance Act [*Chapter 23:04*]
- Public Entities and Corporate Governance Act [*Chapter 10:31*]
- Public Finance Management Act [*Chapter 22:19*] and
- Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]
- Administration of Estates Act [*Chapter 6:01*].

2.3. Regulatory Developments

2.3.1. Circulars

The Commission issued the following Circulars during the review period.

Table 3: Circulars issued during the three months ended 31 March 2025

Circular	Issue date	Content
Circular 1 of 2025	1 February 2025	Pension Funds Reporting Requirements.
Circular 2 of 2025	15 February 2025	Submission of Quarterly Levy Computations and Due Dates.
Circular 4 of 2025	7 February 2025	2025 IPEC AML/CFT/CPF Industry Training Calendar.
Circular 6 of 2025	24 February 2025	Engagement with the Consultant on Financial Sector Development Policy.
Circular 7 of 2025	07 March 2025	Invitation to Participate in Digital Transformation Assessment.
Circular 8 of 2025	27 March 2025	2024 Financial Reporting.
Circular 9 of 2025	28 March 2025	Directive on Revised Statutory Reporting Deadlines.
Circular 10 of 2025	28 March 2025	Market Conduct Framework for The Insurance and Pensions Industry.



Section C

Economic Overview

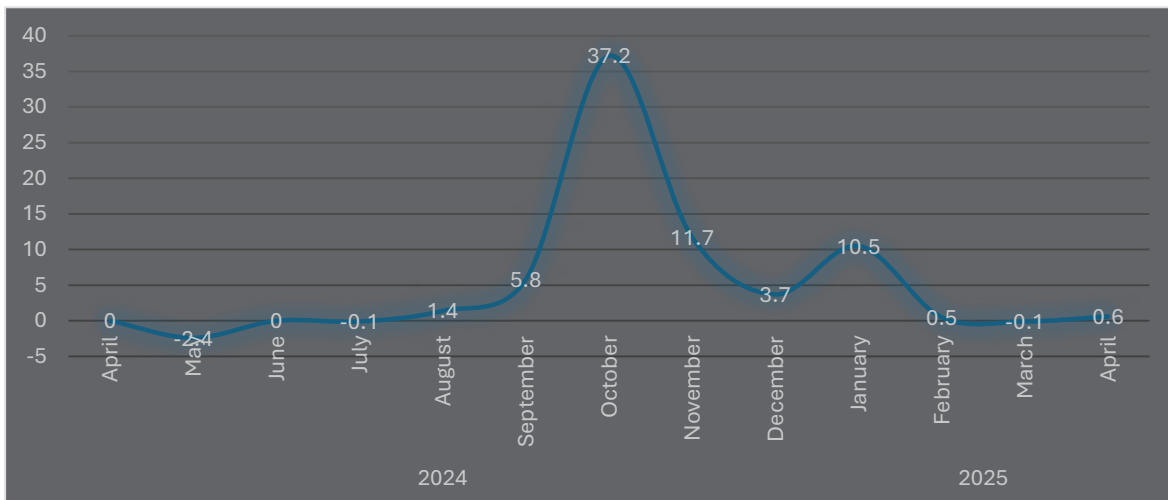
3. Q1 2025 Economic Overview

- 3.1. The economic landscape of Zimbabwe in the first quarter of 2025 was characterised by a notable stabilisation of both inflation and the exchange rate, following an initial inflationary uptick in January. This stability is largely attributed to the tight monetary policy implemented by the Reserve Bank of Zimbabwe (RBZ).
- 3.2. While this policy stance resulted in temporary liquidity constraints, its primary objectives of price and exchange rate stability were achieved. RBZ proactively addressed liquidity concerns through targeted interventions. Furthermore, the Central Bank continued its efforts to enhance the efficiency of the Willing-Buyer Willing-Seller (WBWS) foreign exchange market and augment national foreign currency reserves, building on the foundational work of the preceding quarter to underpin sustained economic growth prospects for the remainder of the year.
- 3.3. Key measures included upward adjustments to the Bank Policy Rate and statutory reserve requirements. Increased exchange rate flexibility within the interbank market, operating within the context of these tight monetary conditions, further contributed to the observed stability.
- 3.4. Strategic foreign exchange market interventions by the Reserve Bank of Zimbabwe facilitated efficient market clearing and ensured a consistent flow of foreign currency. It is important to note that this restrictive monetary policy led to transient liquidity challenges within the banking sector.
- 3.5. The Reserve Bank responded to these challenges through the provision of an intra-day liquidity facility for banks and the planned disbursement of funds under the Targeted Finance Facility (TFF).

Inflation Developments:

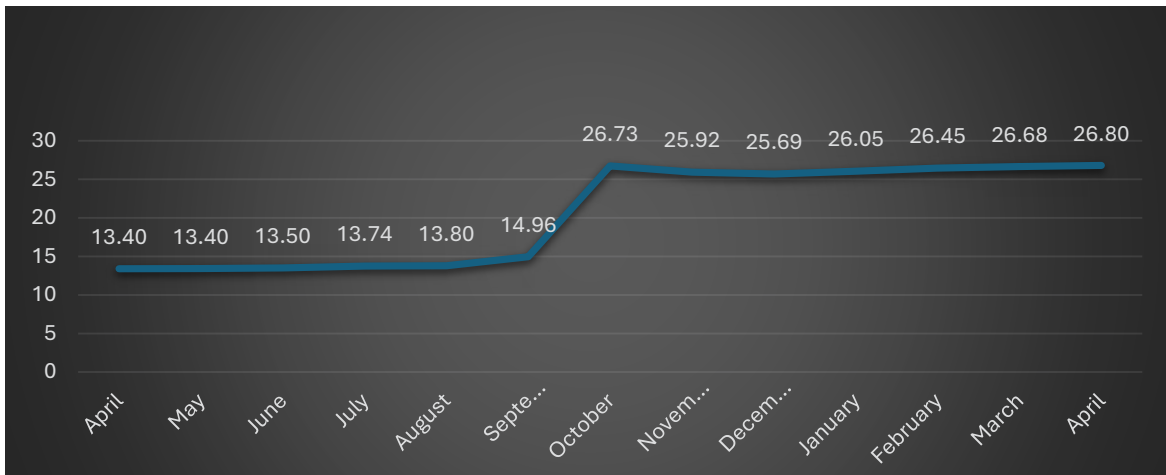
- 3.6. Monthly inflation, denominated in ZWG, exhibited a downward trend in January 2025. Subsequently, a period of stability was observed for the remainder of the first quarter. This stabilisation is a direct consequence of the prevailing tight monetary policy stance adopted by the Reserve Bank of Zimbabwe.

Figure 1: Inflation Rate (Monthly Percentage)



Exchange Rate Developments:

- 3.7. The exchange rate demonstrated stability throughout the first quarter of 2025. This stability is a direct outcome of the monetary policy measures implemented in the latter part of the preceding year. Further evidence of this stability is the observed compression of exchange rate premiums. The Reserve Bank of Zimbabwe continued to deepen the Willing-Buyer Willing-Seller (WBWS) interbank market for foreign exchange, a strategic initiative aimed at enhancing price discovery mechanisms and overall market efficiency.

Figure 2: Official Exchange Rate**Stock Market Performance:****(a) Zimbabwe Stock Exchange (ZSE):**

3.8. The introduction of the ZWG currency in 2024 had a discernible influence on the performance of the Zimbabwe Stock Exchange (ZSE) during the period spanning January to March 2025, resulting in the aggregate market capitalisation of the ZSE registering a gradual increase from ZWG58.96 billion in January to ZWG62.96 billion in March 2025.

(b) Victoria Falls Stock Exchange Market (VFEX):

The performance of the Victoria Falls Stock Exchange Market (VFEX) in the first quarter of 2025 recorded a market capitalisation of US\$1.33 billion, representing a 4.27% increase compared to the US\$1.27 billion recorded in the corresponding period of the previous year.



Section D

Performance of Life Assurance Companies

PERFORMANCE OF LIFE ASSURANCE COMPANIES

4. Life Assurance Sector Architecture

- 4.1. During the review period, there were 12 registered life insurers.
- 4.2. These life insurers reported a total of 1,838 agents, encompassing both corporate and individual representatives. This represents a 22% increase compared to the 1,506 agents recorded in the last quarter, indicating expansion of the distribution network.

5. Performance in Terms of Insurance Revenue

- 5.1. Direct life insurers reported insurance revenue of ZWG1.70 billion, equivalent to US\$64.48 million, during the review period. The conversion is based on the average official exchange rate. This represents a substantial 71% increase compared to the US\$37.78 million reported for the same period in 2024. Foreign currency business contributed 51% of the total insurance revenue, down from 59%. More detail is disclosed in section 9, on foreign currency business.
- 5.2. Funeral assurance and group life assurance were the primary revenue drivers in the life assurance sector, jointly contributing 87% of total revenue.
- 5.3. The proportion of revenue derived from funeral assurance and group life assurance continues to increase, impacting the market share of traditional life assurance products.
- 5.4. A notable trend is the shift within the life assurance sector from long-term products towards predominantly annually renewable products. This is particularly evident in funeral assurance and group life assurance policies currently offered.

Table 4: Insurance Revenue and Net Premium Written Per Company

Company	Insurance Revenue March 2025 (ZWG Million)	Market Share (Insurance Revenue)	Net Premium Written March 2025 (ZWG Million)	Market Share (Net Premium Written)
Nyaradzo Life	854.08	50.13%	899.42	49.10%
Doves Life	214.41	12.58%	260.2	14.20%
Old Mutual Life	186.62	10.95%	192.82	10.53%
Zimnat Life	113.91	6.69%	108.69	5.93%
First Mutual Life	99.18	5.82%	75.59	4.13%
Econet Life	84.19	4.94%	80.43	4.39%
Fidelity Life	65.15	3.82%	106.79	5.83%
CBZ Life	44.41	2.61%	42.33	2.31%
ZB Life	32.48	1.91%	54.88	3.00%
Nhaka Life	5.69	0.33%	5.69	0.31%
Evolution Life	2.02	0.12%	2.46	0.13%
Heritage Life	1.7	0.10%	2.52	0.14%
Total	1,703.83	100.00%	1,831.83	100.00%

- 5.6. In terms of market share, Nyaradzo Life Assurance Company leads the life assurance sector, with a 50.13% market share, primarily driven by revenue from the funeral assurance business.
- 5.7. The combined revenue of the top five companies reached ZWG1.47 billion, equivalent to US\$55.57 million.
- 5.8. The top five life assurers accounted for 86% of the sector's total revenue, indicating a significant concentration of revenue among these leading entities.
- 5.9. The Herfindahl-Hirschman Index (HHI) for the life assurance industry is 2,929, indicating a highly concentrated market. This suggests that a few dominant firms control a substantial portion of the market share, potentially leading to reduced competition.

6. Insurance Revenue by Product

- 6.1. Funeral assurance remains the dominant product within the life assurance sector, contributing 74% of total revenue. Group life

assurance is the next most significant product, generating 13% of total revenue.

- 6.2. Other life insurance products, such as endowment plans, term assurance, and whole-life policies, contributed the remaining 13% of revenue.
- 6.3. The figure below depicts the revenue distribution across life assurance product lines, while the accompanying table provides a breakdown of insurance revenue by product line for each company.

Figure 3: Distribution of Insurance Revenue by Product Line

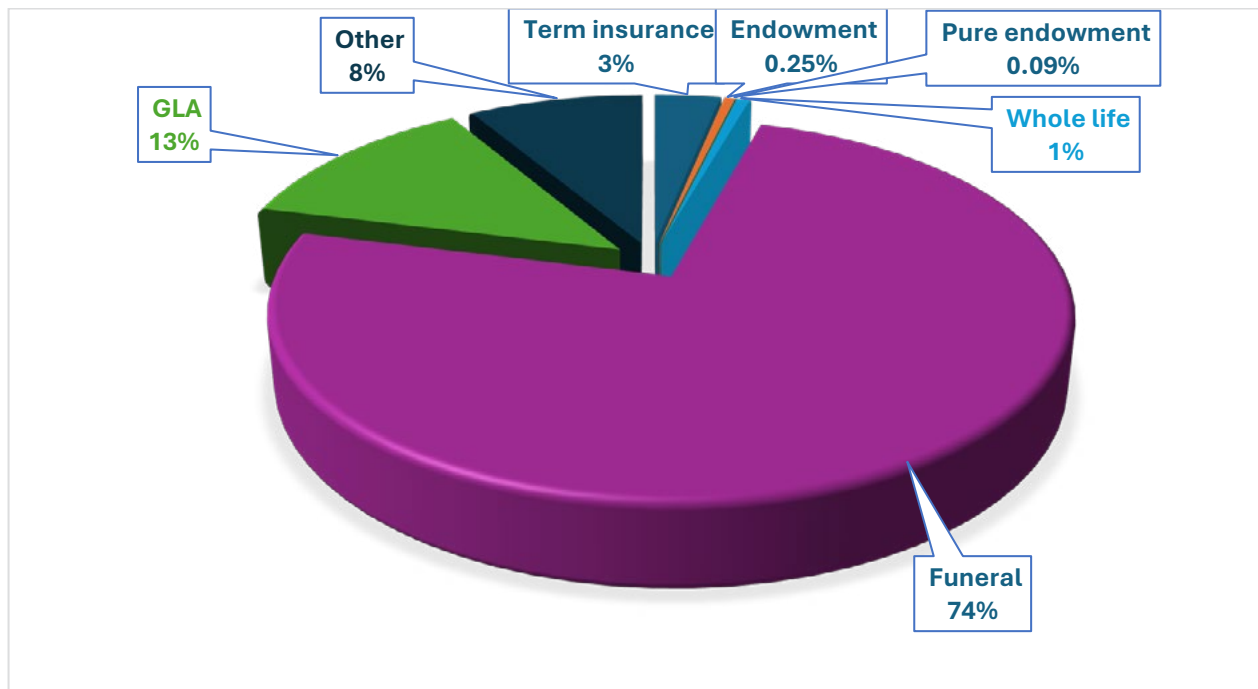


Table 5: Distribution of Insurance Revenue by Product Line Per Company

Company	Term Insurance	Endowment	Pure Endowment	Whole Life	Funeral	GLA	Other	Total
ZWG Million								
Nyaradzo Life	-	-	-	-	854.08	-	-	854.08
Doves Life	-	-	-	-	214.41	-	-	214.41
Old Mutual Life	-	-	-	-	25.67	75.72	85.22	186.62
Zimnat Life	10.15	5.61	-	9.44	26.53	62.18	-	113.91
First Mutual Life	36.51	-	-	-	9.35	39.01	14.31	99.18
Econet Life	-	-	-	-	80.52	3.11	0.55	84.19
Fidelity Life	0.37	1.42	2.2	0.41	4.16	13.51	43.08	65.15
CBZ Life	3.18	0	-	0	23.6	17.58	0.04	44.41
ZB Life	3.17	1.95	-	1.21	23.6	2.46	0.09	32.48
Nhaka Life	1.32	-	-	-	3.89	0.35	0.12	5.69
Evolution Life	-	-	-	0	2.02	-	-	2.02
Heritage Life	-	-	-	-	-	0.01	1.69	1.7
Total	54.7	8.99	2.2	11.05	1,267.84	213.94	145.12	1,703.83

6.4. The leading five life assurance companies primarily concentrate on funeral assurance and group life products. Nyaradzo Life and Doves Life focus solely on funeral assurance, whereas Old Mutual, Zimnat, and First Mutual specialise in group life assurance.

7. Not Taken Up Policies

7.1. During the quarter under review, the life assurance sector recorded a total of 12,121 Not Taken Up (NTU) policies, with projected insurance revenue amounting to ZWG85.43 million (US\$ equivalent US\$3.23 million). See the table below.

Table 6: Not Taken Up Policies

Name of Company	Number of Policies	Insurance Revenue - ZWG Million
Doves Life	8,288	0.20
Econet Life	2,122	84.19
Zimnat Life	1,112	0.63
Old Mutual Life	386	0.25
ZB Life	134	0.07
Fidelity Life	79	0.09
Total	12,121	85.43

- 7.2. Doves Life Assurance recorded the highest number of NTUs, followed by Econet Life Assurance. This trend suggests that both companies should consider reviewing and enhancing their customer onboarding processes and product offerings to improve uptake rates.
- 7.3. Life assurers are urged to closely monitor how agents present their products to prospective clients to avoid misrepresentation. This highlights the importance of consumer education programmes, both within individual companies and across the life assurance sector.

Lapsable Policies

- 7.4. The life assurance sector began the first quarter of 2025 with 2,373,960 policies. During the quarter, 266,865 policies lapsed, resulting in a lapse ratio of 11%. This represents a decrease of 42% from the 19% lapse ratio reported in the last quarter.
- 7.5. Policy lapses are primarily caused by affordability issues and changes in policyholders' circumstances. The Commission expects life assurers to maintain proactive and effective communication with policyholders before their policies lapse, exploring potential solutions to prevent policy cancellations.
- 7.6. The table below shows the lapse ratio per entity.

Table 7: Lapse Ratios

Name of Company	No. of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (Group Business)	Lapse Ratio
Econet Life	1,285,258	217,177	2	16.90%
Nyaradzo Life	569,319	18,500	10,393	5.08%
Doves Life	177,317	3,591	5,476	5.11%
Old Mutual Life	78,268	4,964	-	6.34%
First Mutual Life	75,104	2,316	-	3.08%
Zimnat Life	58,772	2,899	-	4.93%
Fidelity Life	56,522	230	-	0.41%
CBZ Life	43,534	1,228	-	2.82%
ZB Life	27,226	79	-	0.29%
Heritage Life	1,857	-	-	0.00%
Nhaka Life	783	10	-	1.28%
Evolution Life	-	-	-	-
Total/ Average	2,373,960	250,994	15,871	11.24%

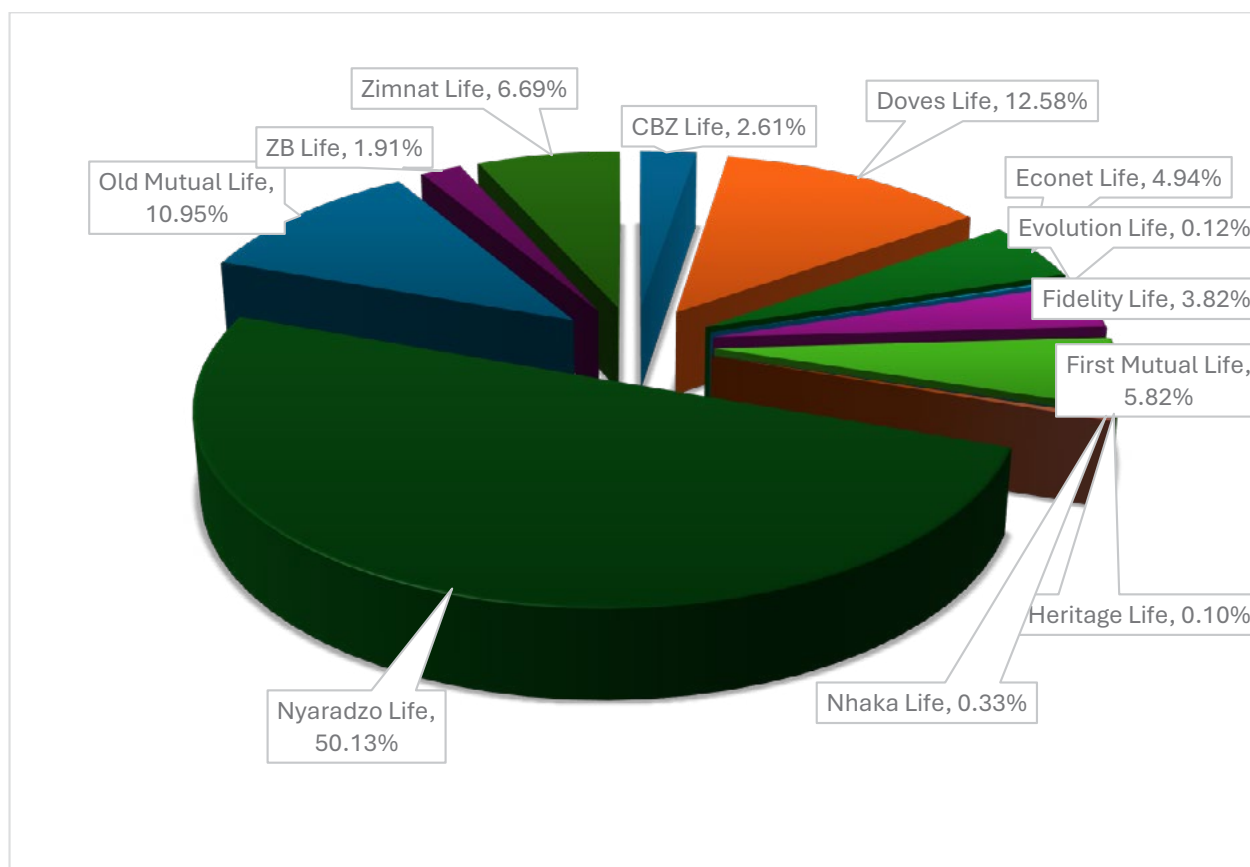
7.7. During the review period, Econet Life recorded a lapse ratio exceeding 10%, largely due to policyholders facing financial hardships and changing insurance preferences. These factors significantly contributed to the discontinuation of policies. It is strongly recommended that Econet Life conduct a comprehensive experience analysis to accurately identify the underlying causes of these lapses. Based on the findings, the company should develop and implement targeted, data-driven strategies designed to reduce lapse rates and enhance policyholder retention.

8. Market Share

8.1. In terms of revenue, Nyaradzo Life and Doves Life were the leading players in the life assurance sector, collectively commanding a significant market share of 62.71%, with the other insurers share the remaining 37.29% of the market.

8.2. The Figure below shows the market share for the sector in terms of revenue.

Figure 4: Market Share in Terms of Insurance Revenue



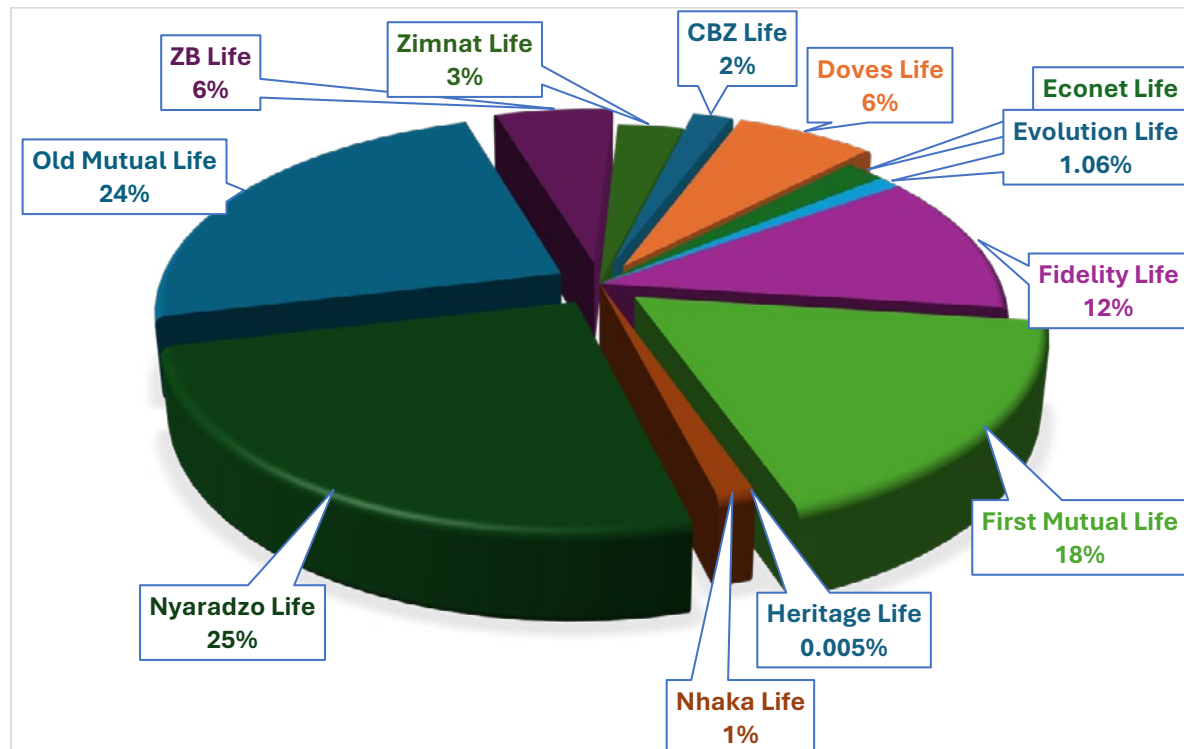
8.3. To foster sustainable growth within the life assurance sector, market participants should prioritise the development of innovative products that align with prevailing market dynamics and the evolving needs of consumers. Continued over-reliance on funeral assurance products may not represent a viable long-term growth strategy for the sector. Diversification into broader, value-driven insurance solutions is essential to ensure resilience and relevance in a shifting economic and demographic landscape.

Market Share by Asset

8.4. Old Mutual Life and Nyaradzo Life dominated the life assurance sector in terms of assets, holding a combined 49% market share, while the other entities shared the remaining 51%.

8.5. The chart below presents the distribution of market share by entity based on assets.

Figure 5: Market Share by Assets



8.6. Life assurance companies should remain well-capitalised and maintain resilient asset base, characterised by appropriate asset-liability matching in terms of tenure and liquidity. This ensures the timely fulfilment of policyholder obligations as they fall due, thereby safeguarding financial stability and reinforcing stakeholder confidence.

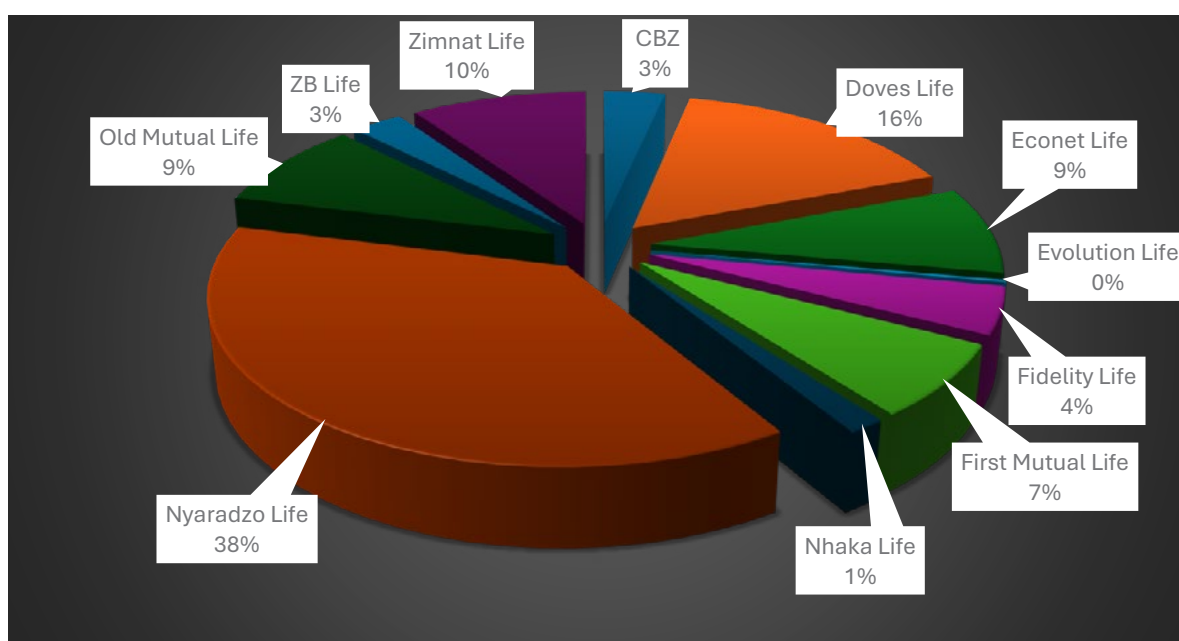
9. Foreign Currency Business

9.1. During the review period, the life assurance sector generated US\$32.69 million in foreign currency revenue, representing a 47% increase compared to the US\$22.25 million recorded during the same period in 2024.

9.2. This increase in foreign currency business is primarily driven by policyholders transitioning from local currency-denominated policies to foreign currency policies, given the recurring nature of a significant portion of the business.

- 9.3. During the period under review, foreign currency business accounted for 51% of total revenue, representing an 8% decline from the 59% recorded during the same period in 2024.
- 9.4. In compliance with Statutory Instrument 280 of 2020, life assurance companies are reminded to invest foreign currency premiums in foreign currency-denominated assets and to settle claims in foreign currency.
- 9.5. The figure below presents a breakdown of foreign currency business written by each life assurance company.

Figure 6: Market Share by US\$ Insurance Revenue



- 9.6. Nyaradzo Life held the largest share of foreign currency business, holding 38%, owing to its dominant position within the life assurance sector.

10. Reassurance

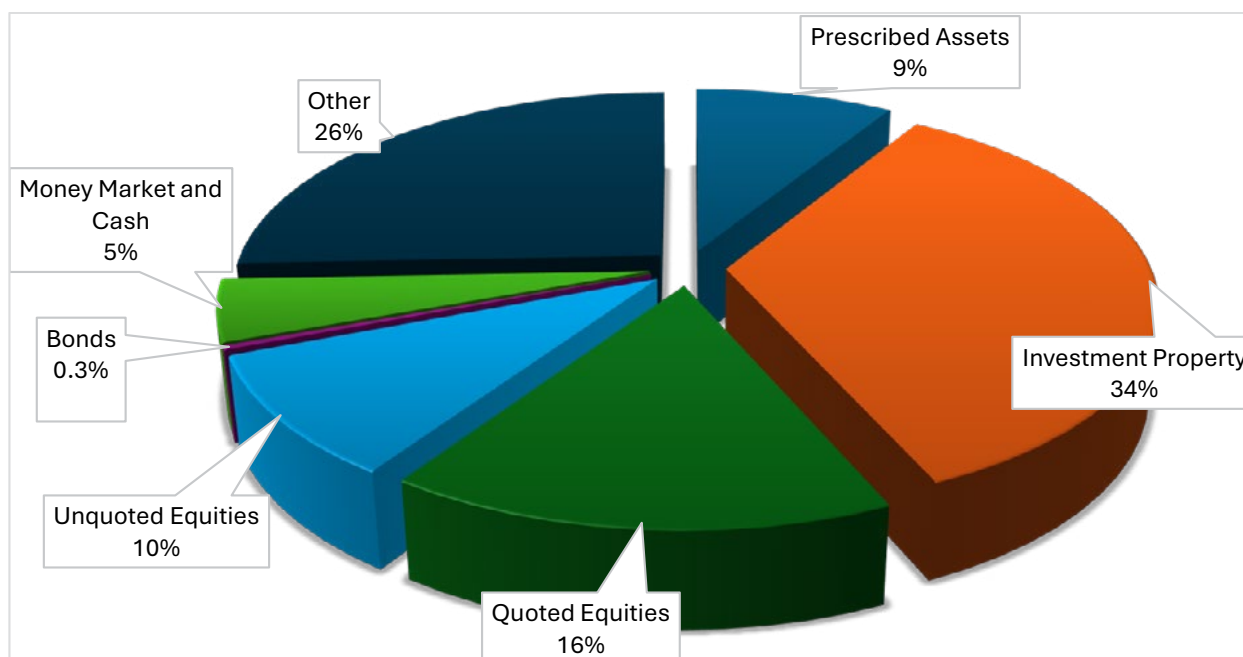
- 10.1. The life reinsurance industry ceded ZWG23.74 million (US\$0.90 million) out of a total written business of ZWG1.70 billion (US\$64.48 million) to reinsurers, resulting in a reinsurance ratio of 1%.
- 10.2. The low reinsurance ratio is largely attributable to the dominance of funeral assurance products, which typically provide in-kind funeral services rather than monetary benefits and are generally not reinsured.

Additionally, the widespread use of annually renewable policies by industry players, many of which are also not reinsured, further contributes to the subdued uptake of reinsurance within the sector.

- 10.3. Reinsurance serves as a vital instrument in risk management, enabling insurers to optimise capital efficiency by transferring a portion of their underwritten liabilities to reinsurers. This strategic risk transfer enhances financial resilience and supports more effective control over aggregate risk exposure.
- 10.4. Life insurance companies should carefully assess their risk retention capabilities, particularly for GLAs and secure reinsurance coverage where appropriate.

11. Asset Quality

- 11.1. The life assurance sector reported total assets of ZWG15.66 billion (about US\$584.95 million), marking a 12% increase from the US\$521.24 million reported on 31 December 2024.
- 11.2. Life assurance companies primarily invested in quoted equities and investment properties, which together constituted 50.6% of their total assets. These investments are considered well-suited to uncertain economic conditions due to their favourable risk-return characteristics.
- 11.3. The figure below shows the distribution of assets for the life assurance sector by class.

Figure 7: Assets Breakdown by Class

11.4. Other assets include insurance assets (0.65%), reinsurance assets (0.03%), operating assets (9.67%), and other current accounts (15.26%).

11.5. Insurers are urged to ensure a prudent alignment between the composition of assets and the nature and duration of the corresponding liabilities, to support effective asset-liability management and maintain financial soundness.

12. Prescribed Assets

12.1. The life assurance sector's total investments in prescribed assets amounted to ZWG1.38 billion, equivalent to US\$51.67 million. This represents an average compliance level of 8.83% for the period under review, which is below the minimum regulatory requirement of 15%.

12.2. Four (4) out of the 12 life assurance companies, namely, CBZ Life, Nhaka Life, Econet Life, and Fidelity Life, met the minimum prescribed asset ratio of 15% of total assets.

12.3. The Commission continues to encourage the sector to increase its investments in prescribed assets to comply with the established minimum thresholds.

13. Liquidity and Earnings

- 13.1. The life sector reported a positive insurance result of ZWG896.27 million (US\$33.92 million), indicating an underwriting profit generated from core insurance operations.
- 13.2. The current ratio for life assurers stood at 0.93:1, showing that the sector's liquid assets are slightly less than its short-term contractual obligations and other immediate liabilities.
- 13.3. The average combined ratio for life assurers was 46%, highlighting the sector's overall profitability. The ratio breakdown includes a claims ratio of 31% and an expense ratio of 15%.
- 13.4. Profit before tax for the review period stood at ZWG670.71 billion, primarily driven by fair value gains on quoted equities. When converted at the average exchange rate for the period, this amounted to US\$25.38 million, an 88% decline from US\$203.51 million reported in the same period last year. The sharp decrease is attributed to exchange rate stabilisation during the review period.
- 13.5. The table below summarises the expenses, claims, and combined ratio for the life sector.

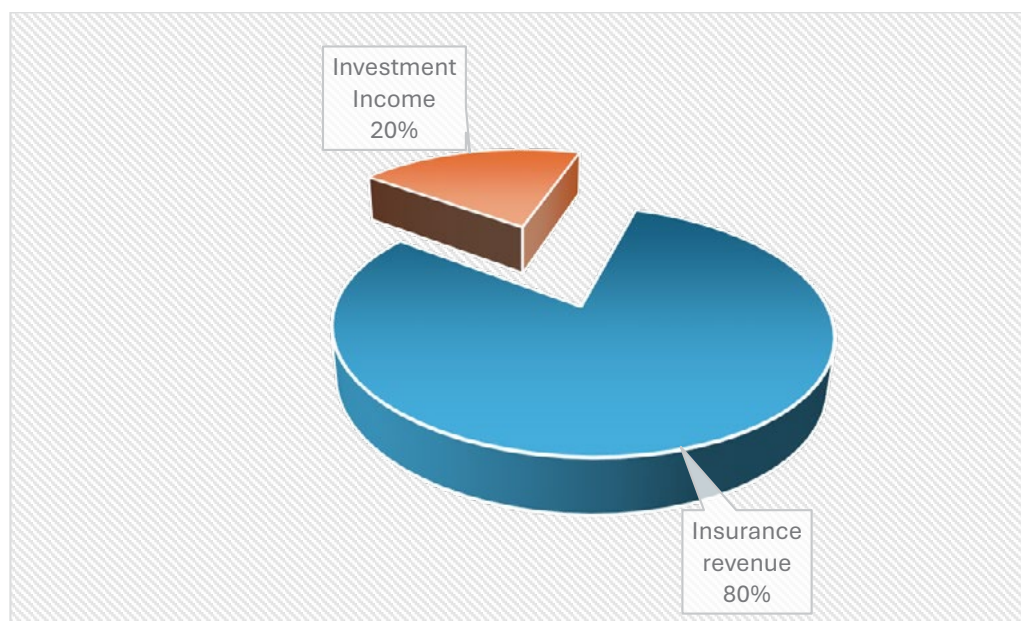
Table 8: Expense Ratios

Company	Expenses Ratio	Claims Ratio	Combined Ratio
ZB Life	130%	11%	141%
CBZ Life	62%	41%	103%
Evolution Life	79%	22%	101%
Econet Life	33%	58%	91%
First Mutual Life	33%	24%	56%
Old Mutual Life	29%	26%	55%
Doves Life	20%	24%	44%
Nyaradzo Life	1%	36%	37%
Fidelity Life	9%	16%	25%
Nhaka Life	10%	15%	25%
Zimnat Life	6%	19%	25%
Heritage Life	0%	8%	8%
Total	15%	31%	46%

13.6. Most life assurance companies reported combined ratios below the 100% benchmark, reflecting sound underwriting performance. However, exceptions were noted for ZB Life (141%), CBZ Life (103%), and Evolution Life (101%), indicating underwriting losses and potential areas for operational review.

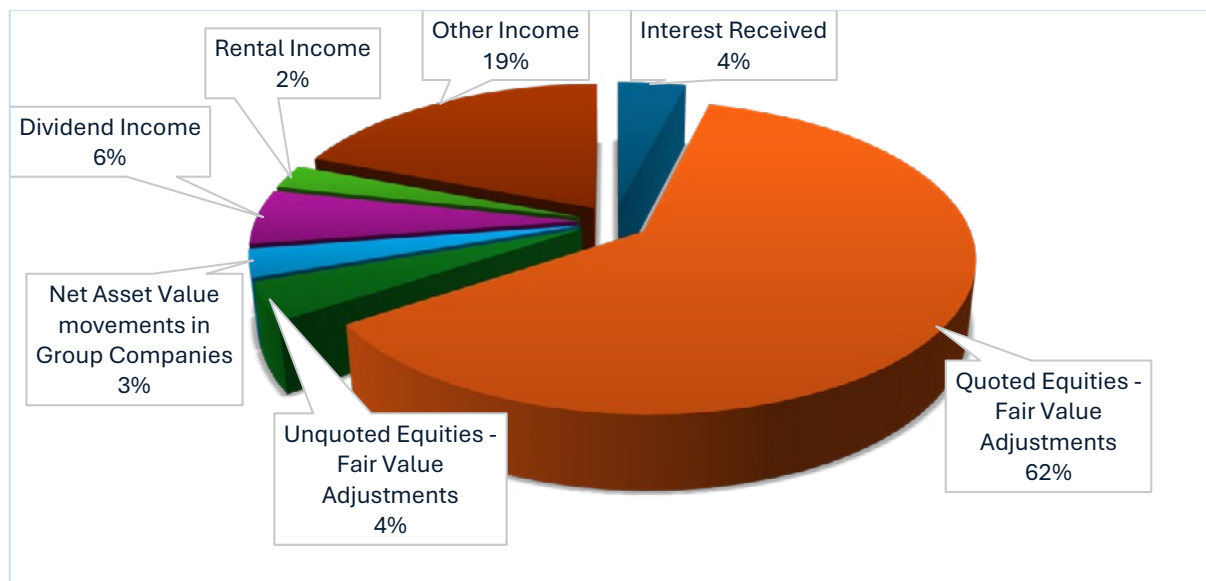
13.7. The figure below shows the distribution of revenue for the sector.

Figure 8: Composition of Income for Life Companies



13.8. Total revenue during the review period was heavily weighted toward insurance income, which accounted for 80% of the total revenue, while investment income contributed 20%. This represents a significant shift from the prior year, where investment income dominated at 85%, with insurance income comprising only 15%. The change reflects the impact of a more stable exchange rate environment, which led to a marked reduction in revaluation gains and fair value adjustments.

13.9. Earnings from fair value adjustments on gold coins, contract fees, gains from the sale of equities, commission income, fund administration fees, and other income sources made up the other investment income.

Figure 9: Composition of Investment Income in Life Companies

14. Capitalisation

14.1. As at 31 March 2025, 11 life assurance companies met the US\$-linked Minimum Capital Requirement (MCR) of US\$2 million.

14.2. A Solvency Stress Testing Framework, grounded in the principles of the Zimbabwe Integrated Capital and Risk Programme (ZiCARP), is currently under development. This framework aims to standardise and guide the execution of stress tests across the balance sheets of all life assurance companies. The primary objective is to assess the resilience of each insurer's financial position under a range of adverse scenarios that could materially impact their operation.



Section E

Performance of Life Reassurance Companies

PERFORMANCE OF LIFE REASSURANCE COMPANIES

15. Nature of the Reassurance Business

Life reinsurers are authorised to underwrite both life and non-life business. However, the statistics in this section focus exclusively on their life assurance activities, except for their capital positions, which include both life and non-life business.

16. Performance in Terms of Reassurance Revenue

16.1. During the review period, life reinsurers recorded insurance revenue of ZWG 44.67 million, equivalent to approximately US\$1.69 million based on the average interbank exchange rate for the period.

16.2. Reinsurers' insurance revenue decreased by 30%, from US\$2.41 million reported during the same period in 2024.

16.3. Group life assurance was the primary contributor to reassurance business revenue, accounting for 68% of the total revenue generated by reinsurers.

16.4. Reassurance companies recorded a positive insurance service result of ZWG15.25 million, equivalent to approximately US\$0.58 million.

17. US\$ Business Revenue for Reinsurers

17.1. For the period ended 31 March 2025, life reassurance companies reported foreign currency-denominated business amounting to US\$1.32 million, representing 78% of their total insurance revenue. This substantial proportion underscores the dominant role of foreign currency transactions in the underwriting activities of life reinsurers, highlighting their significant exposure to and reliance on foreign currency markets.

17.2. Insurance revenue declined by 36% compared to the US\$2.07 million reported during the corresponding period in 2024.

17.3. The total insurance service result for life reinsurers amounted to US\$0.25 million, indicating an underwriting profit for the review period, but this reflects a 68% decrease from the US\$0.79 million reported in March 2024.

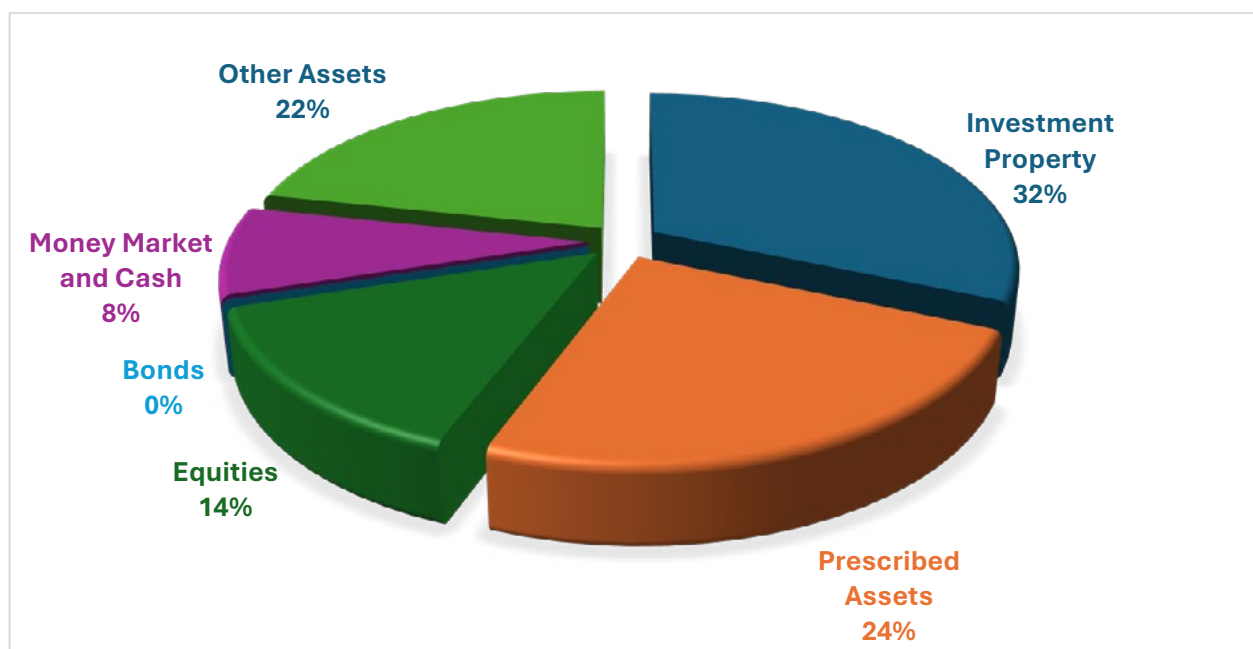
17.4. Profit before tax for the period under review was US\$0.04 million, representing a 90% decline from US\$0.39 million reported on 31 March 2024.

18. Asset Quality

18.1. Total assets for life reinsurers amounted to ZWG274.76 million, equivalent to US\$10.27 million, reflecting an 18% increase from the US\$8.71 million reported as of 31 December 2024. This growth is attributed to fair value adjustments and new investments in asset classes, including prescribed assets.

18.2. The figure below illustrates the distribution of assets for life reinsurers.

Figure 10: Life Reassurers' Total Assets



18.3. Among the total assets reported by reinsurers, investment property constituted the largest asset class, accounting for 32% of the sector's

assets. Prescribed assets accounted for 24%, while other receivables contributed 22% of the total assets.

19. Prescribed Assets

19.1. The life reinsurance sector's total investments in prescribed assets amounted to ZWG66.58 million, equivalent to US\$2.49 million based on the closing rate for the period. This corresponds to an average compliance ratio of 24%, significantly exceeding the prescribed asset threshold of 15%. The increase in the average compliance ratio was primarily driven by increased investments in treasury bills during the review period.

19.2. Emeritus Re and FM Re were the only companies that failed to meet the minimum prescribed asset threshold of 15%.

19.3. Compliance with prescribed asset requirements remains a national priority. Consequently, reinsurers are encouraged to continue their participation in projects of national importance that meet prescribed asset requirements and compliance standards.

20. Earnings

20.1. Profit before tax for the period under review was ZWG9.43 million, equivalent to approximately US\$0.36 million. This profit was primarily generated from investment income. As noted earlier, for direct life insurers, a significant portion of the income for reinsurers also stemmed from insurance operations, which is different from what was reported at the same time last year, as investment income was dominant.

20.2. During the review period, reinsurers reported a claims ratio of 38%, while the expense ratio was 30%, resulting in a combined ratio of 68%.

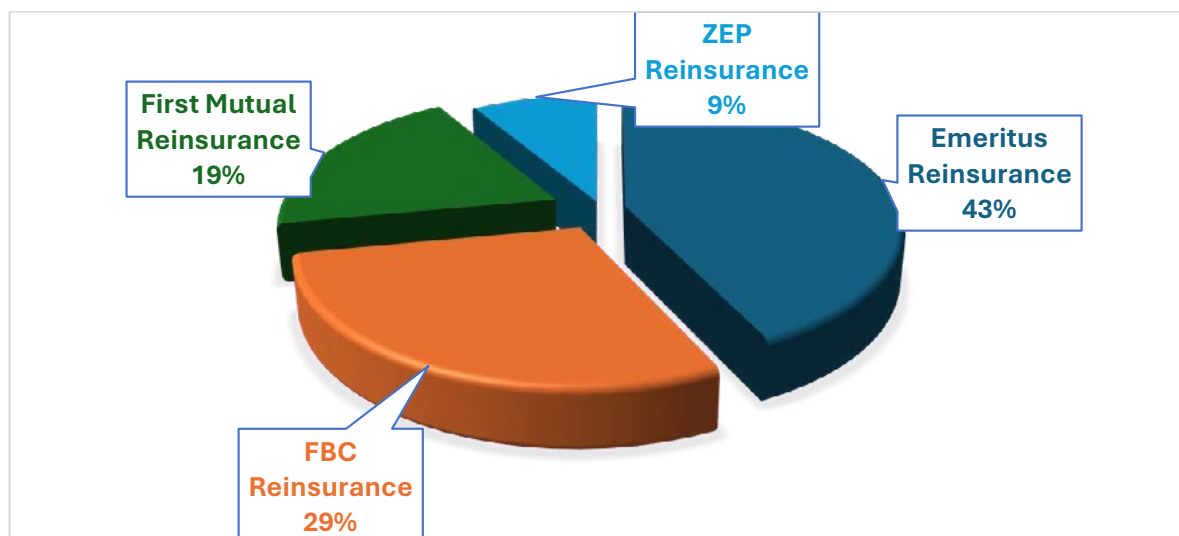
Market Share by Reinsurance Revenue

20.3. In terms of revenue market share, Emeritus Re ranked first with 43%, followed by FBC Re at 29%, First Mutual at 19%, and ZEP Re at 9%.

20.4. For the period ending 31 March 2025, only FBC Re reported a negative insurance result.

20.5. The distribution of market share within the reinsurance sector, based on reinsurance revenue, is depicted in the figure below:

Figure 11: Market Share by Reinsurance Revenue

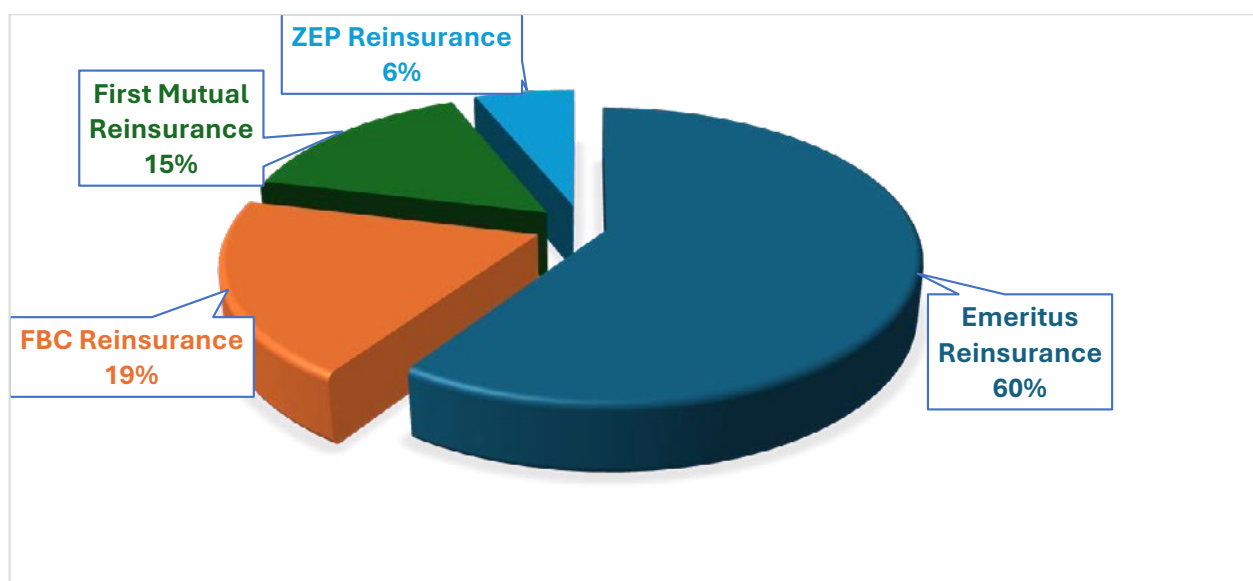


Market Share in Terms of Total Assets

20.6. Emeritus Re held the largest share in the reinsurance sector at 60%, followed by FBC Re with 19%. The remaining market share was distributed between First Mutual Re at 15% and ZEP Re at 6%.

20.7. The breakdown of market share by value of assets is shown in the figure below:

Figure 12: Market Share Distribution in Terms of Total Assets



21. Capitalisation

21.1. Among all reinsurance companies, Emeritus Re is the only one that met the US\$2 million approved minimum capital requirement.

21.2. The other three reinsurers did not meet the proposed minimum capital requirements. They are required to formulate compliance strategies to align with the new capital framework once the relevant regulations are gazetted.

21.3. The table below displays the current capitalisation levels for the reinsurance companies.

Table 9: Capitalisation of Reinsurance Companies

Name of Company	Capital - ZWG Million	US\$2 Million Equivalent
	March-25	March-25
Emeritus Reinsurance	112.53	4.20
First Mutual Reinsurance	48.69	1.82
FBC Reinsurance	17.69	0.66
ZEP Reinsurance	7.23	0.27



Section F

Complaints Handling and Penalties for Regulatory Breaches

22. COMPLAINTS HANDLING AND PENALTIES FOR REGULATORY BREACHES

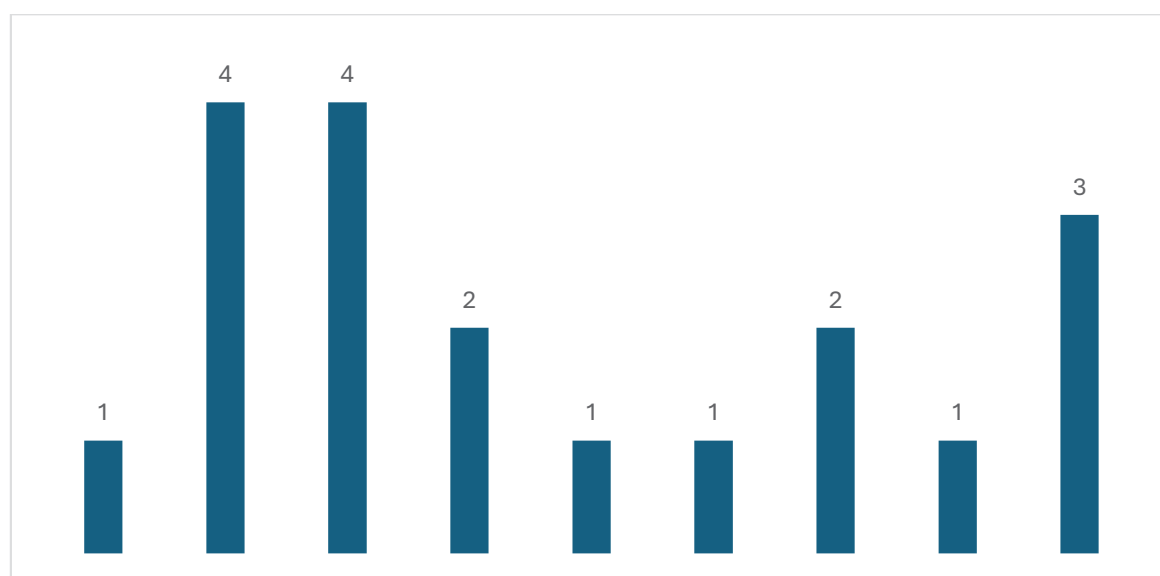
22.1. During the quarter ended 31 March 2025, the Commission received 19 complaints.

22.2. Of these, six (6) were related to life assurance while 13 related to funeral insurance.

22.3. The major sources of the complaints were claim repudiation and low value of benefits.

22.4. Out of the total 19 complaints received, 14 have been resolved, while five (5) remained outstanding.

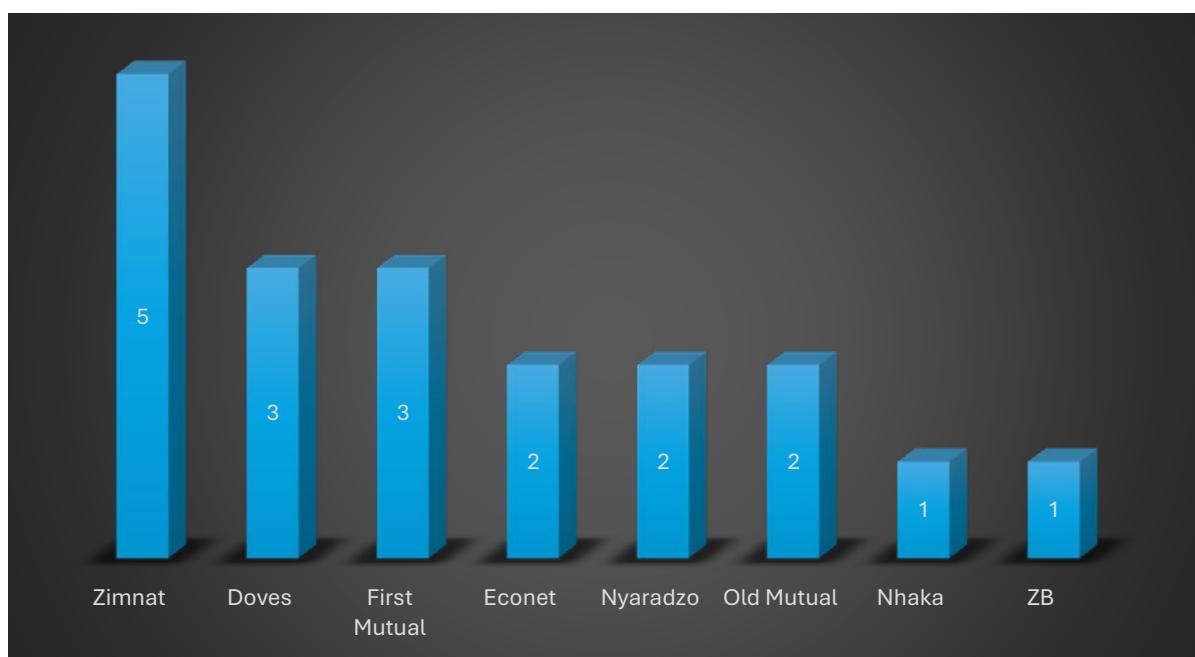
Figure 13: Nature of Complaints for the Quarter Ended 31 March 2025



22.5. The Commission emphasised the need for the sector to prioritise clear and compassionate communication to ensure a smoother experience for all stakeholders

22.6. This commitment promotes trust, understanding, and the overall integrity and reputation of the industry.

The graph below shows the distribution of complaints by entity:

Figure 14: Complaints by entity

22.7. During the review quarter, Zimnat Life received the highest number of complaints, accounting for 26% of the total.

22.8. It was followed by Doves Life and First Mutual Life, each with 16% of the complaints.

22.9. Econet Life, Nyaradzo Life, and Old Mutual Life, each represented 11% of the complaints, while Nhaka Life and ZB Life had the lowest share at 5% each.



Section G

Anti- Money Laundering and Combating the Financing of Terrorism and Proliferation Financing

23. ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

23.1. All the 12 life assurance companies submitted their Anti-Money Laundering, Combating the Financing of Terrorism, and Counter-Proliferation Financing (AML/CFT/CPF) returns for the quarter- ended 31 March 2025. The returns reflect each entity's assessment of inherent risks relating to money laundering (ML), terrorist financing (TF), and proliferation financing (PF), as well as the control measures in place to mitigate the risks.

Assessment of ML/TF/PF Inherent Risk Factors and Controls

Client Risk

- 23.2. During the review period, eight out of the 12 life assurance companies reported having high-risk customers, and the same number identified high-risk customers during the same period in 2024.
- 23.3. Four life assurers considered all their clients to be low risk to ML and TF, a position they reported in the first quarter of 2024. However, this may reflect the need for them to review the customer risk assessment procedures and processes, given that some of the entities offer life products that are vulnerable to ML risk.
- 23.4. In terms of section 20 of the Money Laundering and Proceeds of Crime Act [Chapter 9:24], life assurers are required to put in place appropriate risk management systems that enable them to:
- (a) identify customers whose activities may pose a high risk of money laundering and financing of terrorism, and exercise enhanced identification, verification and ongoing due diligence procedures concerning such customers; and
 - (b) determine if a customer or a beneficial owner is a politically exposed person (PEP), and if so (i) obtain approval from senior management before establishing a business relationship with the customer, or later, as soon as an existing customer or beneficial

owner is identified as a politically-exposed person; and (ii) take all reasonable measures to identify the source of wealth and funds and other assets of the customer or beneficial owner; and

(c) provide increased and ongoing monitoring of the customer and the business relationship to prevent money laundering or the commission of other offences and to permit the financial institution to fulfil its obligations.

23.5. From the sector' submissions, the total premium written attributable to high-risk customers amounted to ZWG1,887,747 and US\$1,473,219 for the quarter under review¹. A graphical representation of the share of business written from high-risk clients and the number of clients is shown in the figure below.

Figure 15: Share of ZWG and US\$ High-Risk Clients

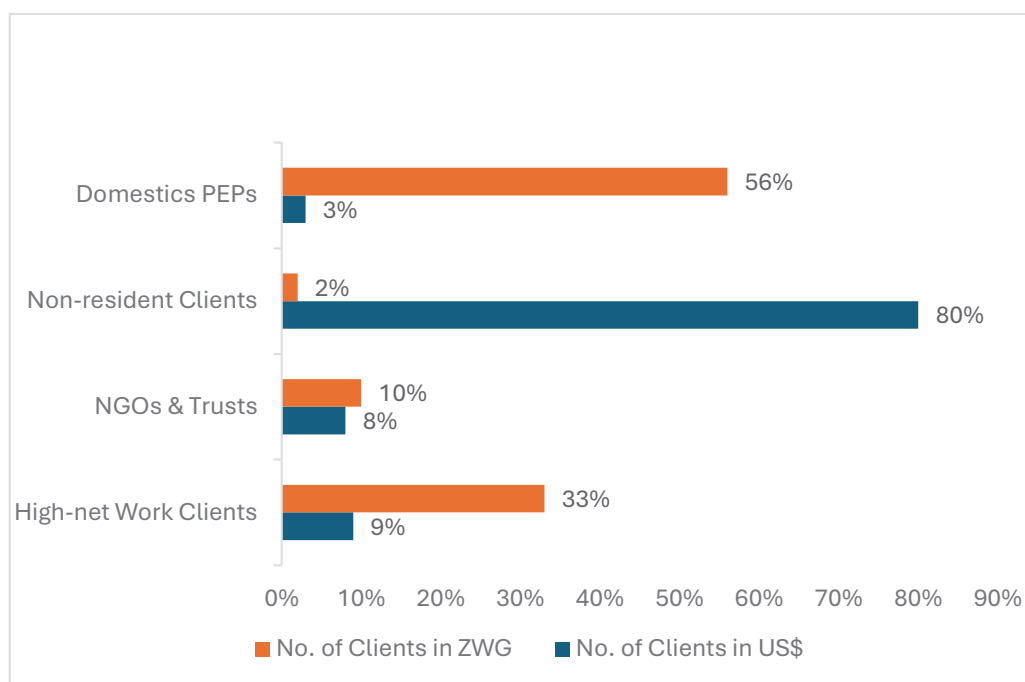
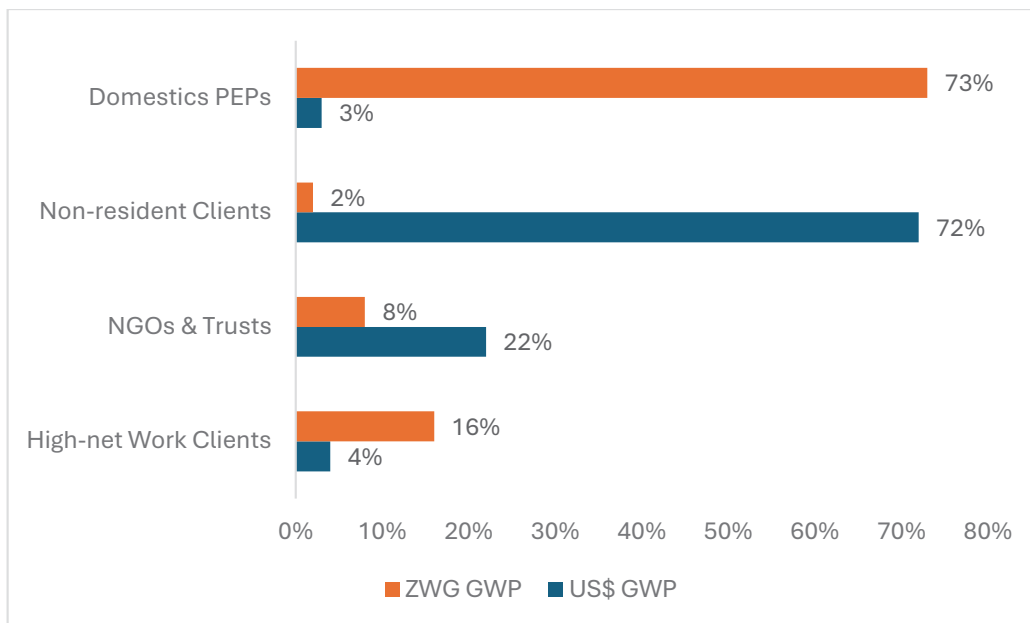


Figure 16: Share of ZWG and US\$ High-Risk Business Written

23.6. Domestic PEPs accounted for the largest share of ZWG business written from high-risk clients, accounting for 73% and 56% of ZWG clients, respectively. High net worth individuals accounted for 33% of high-risk ZWG clients and 16% of USD high-risk clients. Non-resident clients accounted for the greatest share of the high-risk US\$ business written, constituting 80%, and this is attributed to one entity offering funeral products to the diaspora market.

Product Risk

23.7. Conventional life assurance products that tend to be more vulnerable to ML risk accounted for only 12.24% of total revenue during the quarter under review. The detailed breakdown of the share of revenue was as follows:

- a. Term Assurance - 3%, offered by six life assurers.
- b. Endowment - 0.25%, offered by three life assurers.
- c. Pure Endowment - 0.09%, offered by one assurer.
- d. Whole Life - 1% offered by three life assurers.
- e. Other products- 8%, largely comprising investment-linked products from two life assurers.

- 23.8. Products with minimal exposure to ML and TF risks continue to dominate the life assurance market. Funeral assurance products accounted for 74% of total life insurance revenue and group life assurance 13%.
- 23.9. Life assurers should continue implementing product-specific ML and TF controls, guided by their risk assessments.

Use of Intermediaries

- 23.10. The life assurance sector in Zimbabwe continues to rely heavily on intermediaries, particularly agents, as the primary channel for acquiring new business. Eleven of the 12 life assurers use agents to market and distribute their products. Four companies engage insurance brokers and reported the use of bancassurance arrangements through affiliated or partner banks. Only one life assurer had 100% direct clients.
- 23.11. Given their client-facing role in the business acquisition process, agents and brokers play a critical role in conducting customer due diligence. Life assurers must, therefore, ensure that they engage intermediaries that are knowledgeable and comply with AML/CFT/CPF requirements.
- 23.12. Brokers and agents are also designated reporting entities and must comply with the AML/CFT/CPF requirements as per the MLPC Act.

High-Risk Jurisdictions

- 23.13. One life assurance company reported maintaining business relationships with clients located in jurisdictions classified as high-risk by the Financial Action Task Force, specifically, countries identified as having strategic deficiencies in their AML/CFT/CPF frameworks. However, the product that is offered is funeral policies, which is regarded to be of low ML and TF risks.

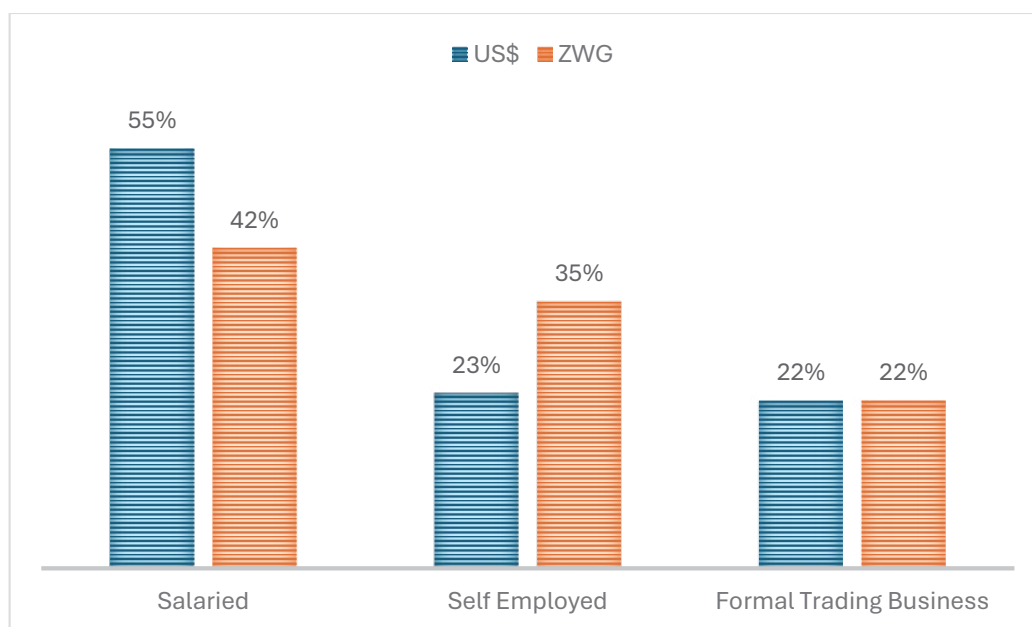
23.14. Five life assurance companies reported operating branches in domestic areas considered high-risk due to their association with illegal trade in precious stones and precious metals.

23.15. The Commission expects life assurers to manage geographic risk by applying Enhanced Due Diligence (EDD) where warranted.

Source of Funds

23.16. The primary sources of funds for life assurance business are summarised in the figure below.

Figure 17: Source of Funds



23.17. Salaried individuals made up the largest share of clients and value of business written accounting for 42% of ZWG and 55% of US\$ premium written. Self-employed clients accounted for 35% ZWG and 23% US\$ values while formal businesses accounted for 22% of both ZWG and US\$ business.

23.18. While this information is normally declared by the client on the policy proposal forms at the application stage, life assurers should apply appropriate customer due diligence depending on the level of risk posed by a customer.

Mode of Payments

23.19. All life assurance companies processed business payments electronically. Three insurers reported that they exclusively receive premium payments through electronic channels such as mobile money, bank transfers, and digital payment platforms. The remaining nine (9) companies accepted both digital and cash payment methods, though cash transactions accounted for 4% of ZWG and 10% of US\$ premiums. The transacted individual premiums averaged US\$10 per month, therefore, posed minimal ML risk. Though dealing with small amounts, entities should remain vigilant and ensure that proper customer due diligence measures are in place.

Suspicious Transactions and Large Cash Transactions

23.20. In the first quarter of 2025, one life assurer filed two (2) suspicious transaction reports with the Financial Intelligence Unit (FIU). Two entities reported large cash transactions during the same period.

23.21. Life assurance companies should enhance their transaction monitoring capabilities by leveraging technology and data analytics. Automated systems assist with flagging unusual transaction patterns, such as sudden changes in premium payment behaviour, unusually high-value cash payments, or transactions that appear inconsistent with a client's known profile. The tools can help institutions identify high-risk transactions in real time and support more timely and effective decision-making.

United Nations Security Council Resolutions Sanctions Screening

23.22. All the 12 life assurance companies reported having some form of system in place to screen clients against sanctions lists, particularly those issued under United Nations Security Council Resolutions (UNSCR). However, the effectiveness of these systems varied.

23.23. Six out of 12 indicated that they screen their client databases against the UNSCR sanctions list on an ongoing basis. The remainder only carry

out screening when they receive a notification from the FIU about updates to the sanctions list.

23.24. Sanctions screening is not just a tick-box exercise. It is a vital part of any robust AML/CFT/CPF programme and should be integrated into the daily operations of every life assurance company. To that end, existing clients should be re-screened without delay whenever there is an update to the UNSCR sanctions list. New clients must be screened at the point of onboarding before any business relationship is formalised, or transactions are processed.

Summary of AML/CFT/TF Assessment

23.25. Life assurance companies continue to demonstrate progress in implementing their AML/CFT/CPF obligations. However, entities that are not effectively monitoring inherent risks or applying appropriate control measures must urgently address these deficiencies. Failure to comply with AML/CFT/CPF requirements may result in regulatory penalties imposed on the institutions, their employees, or both.

24. Conclusion

Zimbabwe's economy is projected to grow in 2025, supported primarily by the agriculture and mining sectors. However, persistent high inflation and ongoing currency volatility, despite current signs of stability, continue to present significant risks to financial planning and insurance pricing.

In response, the Commission is advancing a series of regulatory reforms aimed at strengthening the resilience and transparency of the insurance sector. These include the implementation of ZiCARP-based solvency stress testing, enhanced risk-based supervision, and updated capital adequacy frameworks. The Commission continues to urge industry players to embrace these regulatory frameworks as a foundation for long-term stability.

To remain competitive and sustainable, life assurance companies must prioritise customer-centric innovation and reinforce their risk management strategies, particularly with currency and inflation risks. Additionally, the industry is encouraged to leverage technology to improve operational efficiency and expand access to underserved markets.

A crucial objective for the life assurance sector is to rebuild consumer trust, which will help to revitalise interest in and adoption of long-term insurance products. The industry should prioritise innovation by creating products that are well-suited to changing market demands.

Despite the challenging economic environment, Zimbabwe's life insurance market is showing steady growth. This is largely driven by rising public awareness of the importance of financial protection and long-term planning. Notably, there is increasing demand for foreign currency-denominated policies, which now constitute a significant portion of the sector's revenue.



Section H

Appendices

SECTION H

APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE QUARTER ENDED 31 MARCH 2025 - ZWG Million.

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Insurance Revenue	44.41	214.41	84.19	2.02	65.15	99.18	1.70	5.69	854.08	186.62	32.48	113.91	1,703.83
Revenue from contracts measured under the PAA	17.58	-	83.63	-	13.51	98.18	1.70	5.69	-	186.62	25.86	113.91	546.68
Revenue from contracts measured under the GMM	26.79	214.41	0.55	2.02	48.80	-	-	-	854.08	-	4.38	-	1,151.03
Expected incurred claims	-	98.85	-	1.72	23.30	-	-	-	562.46	-	2.59	-	688.92
Change in risk adjustment for non-financial risk CSM recognised in P&L for the services provided	26.79	13.87	-	0.03	2.69	-	-	-	71.16	-	0.04	-	114.58
Insurance acquisition cash flows recovery	-	60.80	-	0.03	0.24	-	-	-	171.03	-	0.56	-	232.66
Revenue from contracts measured under the VFA	0.04	-	-	-	2.84	1.01	-	-	-	-	2.24	-	6.13
Expected incurred claims	-	-	-	-	-	0.25	-	-	-	-	0.95	-	1.20
Change in risk adjustment for non-financial risk CSM recognised in P&L for the services provided	0.04	-	-	-	0.02	0.02	-	-	-	-	0.05	-	0.13
Insurance acquisition cash flows recovery	-	-	-	-	0.10	-	-	-	-	-	0.50	-	0.59
Insurance service expenses from insurance contracts issued:	45.87	- 94.49	76.79	- 2.04	16.43	56.03	0.14	1.44	- 313.46	103.40	-45.73	28.71	- 784.55
Incurred claims	18.22	- 51.00	45.54	- 0.44	10.61	23.36	0.14	0.88	- 306.68	48.38	- 3.42	21.49	- 530.15
Insurance contract expenses	21.02	- 42.82	-	- 1.48	4.33	20.82	-	0.57	-	55.02	-	7.22	- 153.28
Insurance contract acquisition cash flows	6.64	- 0.67	27.64	- 0.03	1.50	11.66	-	-	- 13.26	-	- 2.44	-	- 63.83
Adjustments to liabilities for incurred claims	-	-	3.60	-	-	0.19	-	-	-	-	-	-	- 3.79
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	- 0.10	-	-	-	-	6.47	-	-39.87	-	- 33.50
Insurance service result before reinsurance	1.46	119.92	7.40	- 0.02	48.72	43.16	1.56	4.24	540.61	83.21	-13.26	85.20	919.28
Allocation of reinsurance premiums (net of reinsurance commission)	2.55	-	3.76	-	1.68	0.56	-	0.09	-	8.31	- 1.58	5.21	- 23.74

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Amounts recoverable from reinsurers for incurred claims	-	-	-	-	-	0.13	-	-	-	0.19	-	0.41	0.73
Net income / (expense) from reinsurance contracts held	2.55	-	3.76	-	1.68	0.43	-	0.09	-	8.12	- 1.58	4.80	- 23.01
Insurance service result	4.01	119.92	3.65	- 0.02	47.04	42.72	1.56	4.15	540.61	75.09	-14.83	80.39	896.27
Interest received	0.91	-	2.42	-	0.05	8.33	-	-	5.95	2.73	1.38	0.22	16.54
Quoted equities - fair value adjustments	1.09	-	4.42	-	1.15	25.58	-	-	14.43	253.85	7.43	1.46	255.96
Unquoted equities - fair value adjustments	-	-	0.85	-	-	-	-	0.06	11.07	3.93	0.60	0.31	16.83
NAV movements in group companies	-	-	-	-	-	12.13	-	-	-	-	-	-	12.13
Dividend income	1.15	-	1.57	-	0.00	1.20	-	-	7.48	10.19	0.10	2.26	23.95
Rental income	0.36	3.03	0.46	-	1.87	-	-	-	1.13	2.68	0.98	-	10.50
Net foreign exchange income / (expense)	5.73	-	-	-	0.49	0.13	-	-	-	16.20	-	0.32	- 9.79
Other Income	0.06	0.70	0.61	0.19	0.02	4.76	0.01	-	71.59	9.45	0.20	1.44	88.99
Total Investment Income	9.30	3.73	10.33	0.19	1.24	0.70	0.01	0.06	111.65	261.17	10.70	6.01	415.10
Insurance finance income (expenses) for insurance contracts issued	0.64	- 0.78	0.01	-	-	10.65	0.01	-	3.28	-	- 4.59	-	7.89
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	-	-	-	-	-	-	-	0.33	-	0.33
Net insurance financial result	0.64	- 0.78	0.01	-	-	10.65	0.01	-	3.28	-	- 4.27	-	8.22
Net investment result	8.65	2.95	10.32	0.19	1.24	11.35	0.00	0.06	114.93	261.17	6.44	6.01	423.32
Administrative Expenses(indirectly linked to insurance service provision)	0.81	- 24.71	7.81	- 0.37	24.54	40.37	0.64	2.10	- 407.47	-	-10.58	92.59	- 612.00
Fair value adjustments (negative)	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Expenses	1.14	-	2.92	-	1.55	-	0.45	0.32	-	35.97	-	0.37	- 36.88
Total for other Expenditure	1.95	- 24.71	4.89	- 0.37	26.09	40.37	1.10	2.43	- 407.47	35.97	-10.58	92.96	- 648.88
Profit (Loss) before tax	2.69	98.16	9.08	- 0.21	22.19	13.70	0.46	1.78	248.07	300.30	-18.97	6.56	670.71
Taxation	0.11	2.77	-	-	0.06	0.00	-	-	-	-	4.89	0.06	7.42
Profit (Loss) after tax	2.58	100.93	9.08	- 0.21	22.13	13.70	0.46	1.78	248.07	300.30	-14.09	6.62	678.12
Other Comprehensive Income for the year	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	2.58	100.93	9.08	- 0.21	22.13	13.70	0.46	1.78	248.07	300.30	-14.09	6.62	678.12

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 MARCH 2025 - ZWG Million

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Assets													
Non-Current Assets													
Intangible Assets	-	-	-	0.18	-	0.37	-	1.29	-	-	-	0.09	1.93
Property, Plant and Equipment	28.30	96.86	18.32	0.56	25.01	6.47	-	3.26	2,516.27	72.50	33.87	18.39	2,819.81
Investment Property	135.06	620.11	18.06	57.15	664.88	-	-	74.97	276.78	1,037.66	0.99	-	2,885.66
Investments: Quoted equities	57.40	13.27	97.40	0.22	20.81	435.74	-	0.29	92.03	1,890.72	229.55	18.70	2,856.14
Unquoted equities	11.72	4.11	31.43	103.14	750.96	159.29	-	-	-	424.31	12.77	228.82	1,726.56
Bonds	-	0.38	-	-	0.00	30.50	-	-	-	18.37	52.68	14.50	116.42
Deferred tax asset	-	-	-	1.90	-	-	-	-	-	-	-	-	1.90
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-	-	-	-	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Reinsurance Contract Held Assets	-	-	-	-	-	-	-	-	-	-	1.74	-	1.74
Other Non-Current Assets	-	-	23.09	-	169.06	1,929.62	-	122.28	-	-	189.88	55.33	2,489.27
Total Non-Current Assets	232.49	734.73	188.31	163.15	1,630.73	2,562.00	-	202.09	2,885.07	3,443.56	521.49	335.83	12,899.44
Current Assets													
Insurance Contract Assets	4.33	79.25	3.48	-	-	17.65	-	-	-	-	-	-	104.70
Reinsurance Contract Held Assets	1.99	-	0.15	-	-	1.00	-	-	-	-	-	-	3.15
Money market investments	26.07	-	60.19	-	13.40	111.44	-	-	21.58	35.22	69.60	13.20	350.70
Other Short-Term Investments	-	32.04	-	-	-	-	-	0.24	162.57	-	-	-	194.85
Other receivables	8.08	165.84	2.61	0.00	181.07	0.54	0.01	4.20	281.54	26.87	-	113.07	783.82
Cash and Bank Balances	13.99	12.74	33.76	0.20	13.16	64.25	-	0.12	48.68	220.75	-	14.70	422.36
Other Current Assets	-	-	8.76	2.68	0.57	12.33	0.74	-	575.12	19.50	277.61	-	897.30
Total Current Assets	54.45	289.85	108.95	2.88	208.20	207.21	0.75	4.56	1,089.49	302.33	347.21	140.98	2,756.88
Total Assets	286.94	1,024.59	297.26	166.03	1,838.93	2,769.21	0.75	206.65	3,974.56	3,745.89	868.69	476.81	15,656.32

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Liabilities and Equity													
Current Liabilities													
Insurance Contract Liabilities:	104.74	76.48	31.62	2.70	-	1,816.46	0.08	1.72	-	-	-	2.30	2,036.09
Best Estimate Liability (BEL)	-	76.48	31.61	10.27	-	1,763.56	-	1.72	-	-	-	2.30	1,865.40
Risk Adjustment (RA)	19.68	-	0.01	1.03	-	2.24	-	-	-	-	-	-	22.96
Contractual Service Margin (CSM)	85.06	-	-	11.94	-	50.66	0.08	-	-	-	-	-	147.73
Reinsurance Contract Held Liabilities:	0.12	-	2.41	-	-	-	-	-	-	-	-	-	2.53
Best Estimate Liability (BEL)	-	-	2.41	-	-	-	-	-	-	-	-	-	2.41
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	0.12	-	-	-	-	-	-	-	-	-	-	-	0.12
Related party payables	-	-	77.39	-	-	46.99	-	-	-	114.57	-	9.54	248.49
Current provisions	-	2.19	12.49	-	-	-	-	0.53	-	-	-	1.82	12.65
Finance lease obligations	-	-	-	-	-	18.54	-	0.59	-	-	-	8.80	27.93
Bank Overdrafts	-	-	-	-	-	-	0.09	-	-	-	-	-	0.09
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-	-
Other payables	21.53	79.53	0.48	-	-	70.59	0.04	0.48	-	363.47	-	92.68	628.80
Total Current Liabilities	126.38	153.82	124.39	2.70	-	1,952.57	0.20	3.33	-	478.04	-	115.14	2,956.58
Non-current liabilities													
Insurance Contract Liabilities:	-	-	-	-	936.20	-	-	-	844.94	617.01	239.27	2.30	2,639.72
Best Estimate Liability (BEL)	-	-	-	-	5.93	-	-	-	1,787.39	608.13	182.48	2.30	2,586.24
Risk Adjustment (RA)	-	-	-	-	99.40	-	-	-	100.14	8.88	10.56	-	218.98
Contractual Service Margin (CSM)	-	-	-	-	830.87	-	-	-	1,042.59	-	46.22	-	165.50
Reinsurance Contract Held Liabilities:	-	-	-	-	1.94	-	-	-	-	1.16	0.20	1.38	1.52
Best Estimate Liability (BEL)	-	-	-	-	1.94	-	-	-	-	1.14	0.15	1.38	1.55
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	0.02	0.00	-	0.01
Contractual Service Margin (CSM)	-	-	-	-	-	-	-	-	-	-	0.04	-	0.04

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Long Term Loans	-	4.65	-	-	26.55	-	-	-	-	-	-	2.86	34.06
Provision for investment contract liabilities	15.18	-	0.91	-	168.43	202.79	-	116.06	-	-	181.34	-	684.70
Deferred Tax liability	-	50.68	-	-	-	0.00	-	-	629.32	-	27.65	6.92	714.58
Other Liabilities	-	-	0.45	-	141.55	73.48	0.08	10.22	-	-	246.91	-	472.69
Total Non - Current Liabilities	15.18	55.34	1.35	-	1,270.79	276.26	0.08	126.28	1,474.26	615.85	695.37	13.46	4,544.23
Total Liabilities	141.57	209.16	125.75	2.70	1,270.79	2,228.83	0.28	129.61	1,474.26	1,093.89	695.37	128.60	7,500.81
Share Capital and Reserves													
Share Capital	0.00	1.00	0.00	0.00	29.15	0.00	0.00	0.00	0.00	0.00	0.57	0.00	30.73
Share Premium	18.69	-	0.00	0.01	17.97	58.07	-	64.84	-	0.47	10.86	0.01	170.92
Insurance finance reserve	-	-	-	0.00	60.28	-	-	-	-	-	-	-	60.28
Investment Reserve	-	-	-	-	-	-	-	12.90	-	-	21.85	-	34.75
Revaluation Reserve	2.76	3.70	17.53	0.48	357.17	-	-	-	1,738.88	0.01	10.15	-	2,130.69
Non-Distributable Reserve	94.84	-	-	0.00	14.06	9.34	-	0.02	0.00	0.01	-	0.05	118.32
Retained Earnings Prior Years	26.50	709.80	144.90	163.05	66.25	506.85	-	2.50	331.80	2,351.22	143.99	354.77	4,796.61
Retained Earnings - Current Period	2.58	100.93	9.08	0.21	22.13	13.70	0.46	1.78	248.07	300.30	14.09	6.62	678.12
Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	-	-	-	-	1.13	47.58	-	-	181.54	-	-	-	135.09
Shareholders' Equity	145.37	815.43	171.51	163.34	568.14	540.38	0.47	77.04	2,500.30	2,652.00	173.33	348.21	8,155.50
Total Equity and Liabilities	286.94	1,024.59	297.26	166.03	1,838.93	2,769.21	0.75	206.65	3,974.56	3,745.89	868.69	476.81	15,656.32

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE QUARTER ENDED 31 MARCH 2025 - ZWG

Million.

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Insurance Revenue	19.17	12.99	8.69	3.83	44.67
Revenue from contracts measured under the PAA	19.17	12.99	8.69	3.83	44.67
Revenue from contracts measured under the GMM	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non-financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Revenue from contracts measured under the VFA	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non-financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Insurance service expenses from insurance contracts issued:	-9.75	-15.59	-2.47	-2.48	-30.30
Incurred claims	-1.14	-11.53	-0.35	-2.25	-15.27
Insurance contract expenses	-1.82	-1.40	-0.26	-	-3.48
Insurance contract acquisition cash flows	-5.04	-2.67	-1.87	-	-9.58
Adjustments to liabilities for incurred claims	-1.75	-	-	-	-1.75
Losses (and reversal of losses) on onerous insurance contracts	-	-	-	-0.23	-0.23
Insurance service result before reinsurance	9.42	-2.60	6.21	1.35	14.38
Allocation of reinsurance premiums (net of reinsurance commission)	-1.27	-1.85	-0.23	-0.08	-3.44
Amounts recoverable from reinsurers for incurred claims	-	4.32	-	-	4.32
Net income / (expense) from reinsurance contracts held	-1.27	2.47	-0.23	-0.08	0.88
Insurance service result	8.14	-0.14	5.98	1.26	15.25
Interest received	0.05	-0.23	0.31	-	0.12
Quoted equities - fair value adjustments	-2.91	0.44	-1.67	-	-4.14
Unquoted equities - fair value adjustments	-	-	-	-	-
NAV movements in group companies	-	-	-	-	-
Dividend income	-	-	0.03	-	0.03
Rental income	2.77	-	-	-	2.77
Net foreign exchange income / (expense)	0.64	1.54	-0.02	-	2.17
Other Income	-	-	-	-	-
Total Investment Income	0.55	1.75	-1.35	-	0.96

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Insurance finance income (expenses) for insurance contracts issued	-	-	-	-0.07	-0.07
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	0.02	0.02
Net insurance financial result	-	-	-	-0.06	-0.06
Net investment result	0.55	1.75	-1.35	-0.06	0.90
Administrative Expenses (indirectly linked to insurance service provision)	-0.79	-5.18	-0.20	-0.10	-6.28
Fair value adjustments (negative)	-	-	-	-	-
Other Expenses	-0.44	-	-	-	-0.44
Total for other Expenditure	-1.24	-5.18	-0.20	-0.10	-6.73
Profit (Loss) before tax	7.46	-3.57	4.43	1.10	9.43
Taxation	0.00	-0.92	-	-	-0.92
Profit (Loss) after tax	7.46	-4.48	4.43	1.10	8.51
Other Comprehensive Income for the year	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	7.46	-4.48	4.43	1.10	8.51

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 31 MARCH 2025 - ZWG Million

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Assets					
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property, Plant and Equipment	0.01	-	0.14	-	0.15
Investment Property	86.48	-	-	-	86.48
Investments: Quoted equities	-	7.42	24.62	-	32.04
Unquoted equities	-	9.80	-	-	9.80
Bonds	-	-	0.02	-	0.02
Deferred tax asset	0.00	-	-	-	0.00
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-
Reinsurance Contract Held Assets	-	-	-	-	-
Other Non-Current Assets	9.26	-	-	-	9.26
Total Non-Current Assets	95.76	17.22	24.78	-	137.76
Current Assets					
Insurance Contract Assets	-	-	-	-	-
Reinsurance Contract Held Assets	5.59	-	5.42	1.11	12.12
Money market investments	5.72	30.95	7.89	4.76	49.32
Other Short-Term Investments	10.95	0.76	-	-	11.71
Other receivables	34.11	0.87	2.08	11.05	48.12
Cash and Bank Balances	11.13	2.47	1.22	-	14.82
Other Current Assets	-	0.92	-	-	0.92
Total Current Assets	67.50	35.97	16.61	16.92	137.00
Total Assets	163.26	53.19	41.39	16.92	274.76
Liabilities and Equity					
Current Liabilities					
Insurance Contract Liabilities:	-	-	4.38	-	4.38
Best Estimate Liability (BEL)	-	-	4.18	-	4.18
Risk Adjustment (RA)	-	-	0.19	-	0.19
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	38.82	-	-	9.69	48.51
Best Estimate Liability (BEL)	38.82	-	-	8.25	47.07
Risk Adjustment (RA)	-	-	-	1.44	1.44
Contractual Service Margin (CSM)	-	-	-	-	-
Related party payables	0.07	17.03	-12.43	-	4.67

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Current provisions	0.19	18.47	-	-	18.65
Finance lease obligations	-	-	-	-	-
Bank Overdrafts	-	-	-	-	-
Payables Arising from Retrocession Arrangements	11.66	-	-	-	11.66
Other payables	0.00	-	0.76	-	0.76
Total Current Liabilities	50.73	35.50	-7.29	9.69	88.62
Non-current liabilities					
Insurance Contract Liabilities:	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Long Term Loans	-	-	-	-	-
Provision for investment contract liabilities	-	-	-	-	-
Deferred Tax liability	-	-	-	-	-
Other Liabilities	-	-	-	-	-
Total Non-Current Liabilities	-	-	-	-	-
Total Liabilities	50.73	35.50	-7.29	9.69	88.62
Share Capital and Reserves					
Share Capital	12.89	-	0.00	-	12.89
Share Premium	166.00	-	7.31	-	173.31
Insurance finance reserve	-	-	-	-	-
Investment Reserve	-	-	-	-	-
Revaluation Reserve	-179.17	-	-	-	-179.17
Non-Distributable Reserve	-	-	-	-	-
Retained Earnings Prior Years	105.35	22.17	36.96	6.13	170.62
Retained Earnings - Current Period	7.46	-4.48	4.43	1.10	8.51
Minority Interest	-	-	-	-	-
Other	-	-	-0.02	-	-0.02
Shareholders' Equity	112.53	17.69	48.69	7.23	186.14
Total Equity and Liabilities	163.26	53.19	41.39	16.92	274.76



Life Assurance Sector Report

for the Quarter Ended 31 March 2025

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